

SAMPLE TEST CONTRACT 2 — Employment Agreement

(Contains Risky Clauses)

TESTING NOTE (remove before feeding to system): This document intentionally contains multiple red-flag clauses for testing risk-detection: (a) unlimited/unfixed working hours with no overtime, (b) one-sided termination (Employer: no notice; Employee: 60-day notice + salary forfeiture penalty), (c) unreasonable non-compete (3 years, entire India, overly broad), (d) indefinite/unlimited confidentiality with no carve-outs, (e) arbitrary salary deductions without due process. Expected system output: HIGH overall risk score, multiple clauses flagged, especially Clauses 4, 5, and 7.

This Employment Agreement is made on 3rd February 2026, by and between Zenlight Retail Pvt. Ltd., having its office at Andheri East, Mumbai ("Employer"), and Priya Menon, residing at Malad West, Mumbai ("Employee").

1. Position and Duties

The Employee is appointed as Store Operations Executive and shall report to the Regional Manager. The Employee may be assigned any additional duties as deemed fit by the Employer at its sole discretion.

2. Compensation

The Employee shall receive a gross monthly salary of INR 25,000. The Employer reserves the right to modify the compensation structure at any time without prior notice to the Employee.

3. Working Hours

The Employee shall work such hours as required to complete assigned tasks, with no fixed upper limit on daily working hours, and no additional compensation for hours worked beyond standard shift timings.

4. Termination

The Employer may terminate this Agreement at any time, with or without cause, without any notice period or severance payment. The Employee must provide 60 days written notice to resign, failing which one month's salary shall be forfeited.

5. Non-Compete

The Employee shall not, for a period of 3 years after termination of employment, work in any capacity for any retail business anywhere in India, whether as an employee, consultant, or business owner.

6. Confidentiality

The Employee shall keep all Employer information confidential at all times, without any time limitation, including information not designated as confidential.

7. Deductions

The Employer may deduct amounts from the Employee's salary for any perceived damages, shortages, or losses at the store, without requiring proof of the Employee's fault or a formal investigation process.

8. Governing Law

This Agreement shall be governed by the laws of India.